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SECTOR INVESTMENT REPORT · ETHIOPIA

Ethiopia economy and return benchmarks

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Ethiopia's real GDP grew 9.2 percent in FY2024/25 under an IMF-supported reform program that moved the birr to a market-based exchange rate in July 2024 and introduced an interest-rate-based monetary policy framework. Inflation has fallen from 26.6 percent on average in FY2023/24 but rose again to 13.4 percent in May 2026, and the National Bank of Ethiopia raised its policy rate by 1 percentage point in July 2026. FDI reached a reported USD 4.32 billion in FY2025/26, while public debt is still assessed as in distress pending completion of the restructuring.

Key indicators

Indicator	Value	Period
Real GDP growth	**9.2 percent (FY2024/25); IMF projects 7.8 percent for FY2025/26 and 8.2 percent for FY2026/27**[1]	FY2024/25 actual; FY2025/26-2026/27 projections
Real GDP growth projection (NBE)	**10.2 percent projected for FY2025/26**[3]	FY2025/26
Headline inflation (year-on-year)	**13.4 percent (food 15.0 percent, non-food 11.1 percent), up from 11.7 percent in April 2026 and 9.7 percent in December 2025**[3]	May 2026
Average inflation (IMF)	**26.6 percent (FY2023/24), 16.0 percent (FY2024/25), 11.7 percent (FY2025/26 est.), 12.3 percent (FY2026/27 proj.)**[1]	FY2023/24 to FY2026/27
Exchange rate regime and level	**Market-based exchange rate system since July 29, 2024; weighted average rate at the May 19, 2026 NBE FX auction 159.63 ETB per USD; parallel market spread 10-20 percent since October 2025, about 11 percent in late May 2026**[2]	July 2024 to May 2026
Foreign direct investment inflows	**USD 4.32 billion, up 8 percent from the previous year (EIC figures)** [6]	FY2025/26
Gross reserves	**2.1 months of imports (FY2025/26), projected 2.7 months (FY2026/27), up from 0.7 months in FY2023/24**[1]	FY2023/24 to FY2026/27
Debt and credit standing (IMF assessment)	**Debt 'continues to be assessed as unsustainable and in distress'; restructuring aims to improve the rating to moderate risk by end of program; agreement-in-principle reached with Eurobond holders**[2]	June-July 2026

Returns and yields

Measure	Value	Period	What it measures
NBE policy rate (National Bank Rate)	**16 percent**[5]	As displayed on NBE homepage, accessed 2026-10-16	Central bank policy rate; standing facilities at NBR plus or minus 3 percentage points
Policy rate decision	**Raised by 1.0 percentage point (from the initial 15 percent set in July 2024 and held through March 2026)**[3]	July 2026 (MPC No. 7)	MPC decision; prior level of 15 percent per NBE framework announcement and IMF staff report
Treasury bill weighted average yield, all tenors	**12.3 percent (down from 15.5 percent a year earlier)**[3]	May 2026	Weighted average yield on all Treasury bills
91-day Treasury bill yield	**11.0 percent (down from 16.1 percent a year earlier)**[3]	May 2026	Weighted average yield, 91-day T-bill
Treasury bill yield on new issuance (IMF)	**14.4 percent, down from 16.7 percent in December 2025**[2]	April 2026	Weighted average rate on new T-bill issuances
Interbank rate (7-day)	**14.6 percent, down from about 18.0 percent in March 2026**[3]	May 2026	7-day interbank weighted average rate
Commercial bank long-term lending rate	**18 percent (June 2025); 17.9 percent (September 2025)**[7]	June and September 2025	Weighted average long-term lending interest rate of commercial banks
Average lending and deposit rates	**Average lending rate 15.0 percent (range 7.0-23.0 percent); weighted average time deposit rate 7.8 percent; average savings rate 8.0 percent**[4]	Q1 FY2024/25 (July-September 2024)	Interest rate structure of the banking system, NBE Table 4.4

Benchmark yields and rates above are published by the National Bank of Ethiopia and the IMF; NBE liberalized deposit and lending rates in January 2026 (no floors or caps), so the Q1 FY2024/25 average lending and deposit rates are the latest full interest-rate structure we found.

Investment opportunities

- **Agriculture.** EIC priority sector: 'The opportunity to serve a growing domestic food market.'[8]
- **Manufacturing.** EIC priority sector ranging from light manufacturing to food and beverages.[8]
- **Mining.** EIC priority sector, promoted as a high-potential mining destination.[8]
- **ICT.** EIC priority sector leveraging a growing, tech-savvy local talent pool to serve the global market.[8]
- **Tourism.** EIC priority sector, marketed as 'the land of origins'.[8]
- **Energy, health, transport and logistics.** Listed by EIC as other sectors of opportunity: electricity for a large unserved population, an underserved healthcare sector, and logistics for a landlocked country.[8]

Incentives

- Investors establishing a new enterprise are entitled to an income tax exemption, with length depending on sub-sector, export volume and location; losses during the exemption period can be carried forward.[9]
- Duty-free import of capital goods and construction materials for new or expanding enterprises.[9]
- Capital repatriation and remittance of dividends and interest are guaranteed to foreign investors under the Investment Proclamation; minimum foreign investment capital is USD 200,000 (USD 150,000 in a joint venture with a domestic investor).[9]
- FX liberalization continued in July 2026: the FX commission was reduced from 2.5 to 1.5 percent and the export surrender requirement on goods from 50 to 30 percent.[3]

Risks to consider

- Inflation rebounded to 13.4 percent in May 2026 from 9.7 percent in December 2025, prompting a 1 percentage point policy rate increase; the IMF says NBE should be ready to tighten further.[3]
- Public debt remains assessed by the IMF as unsustainable and in distress until the restructuring is complete; some Eurobond holders' committee members indicated they intend to pursue legal action.[2]
- The parallel market exchange rate spread has fluctuated between 10 and 20 percent since October 2025, and the birr depreciated about 1.3 percent per month.[2]
- The IMF brought forward about USD 200 million to address pressures from the war in the Middle East, especially higher fuel import costs.[1]

Sources

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